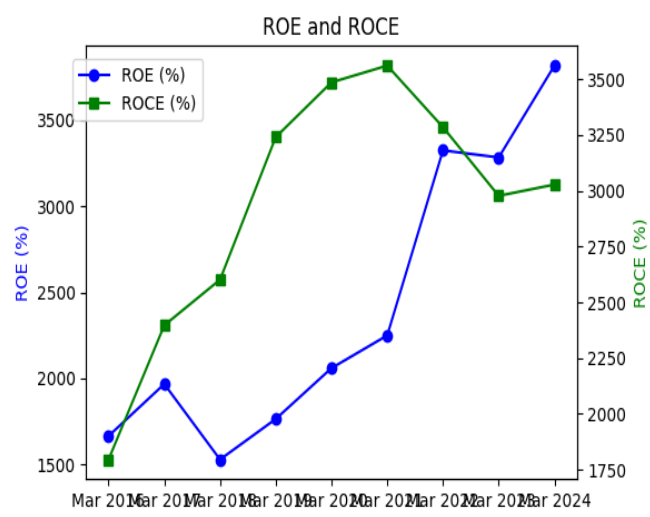
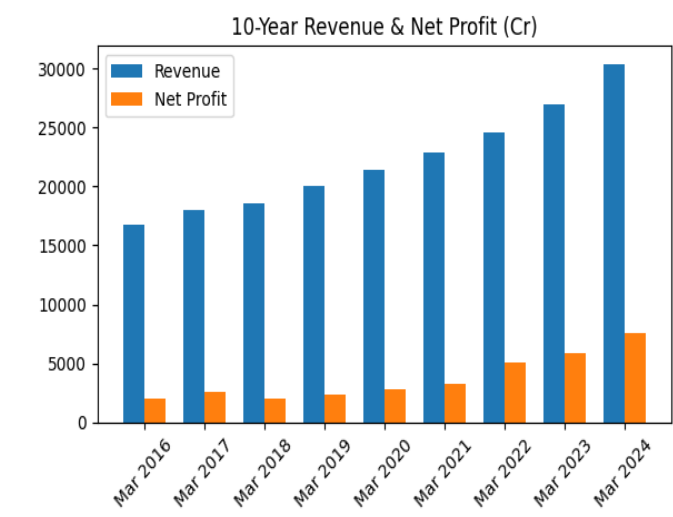
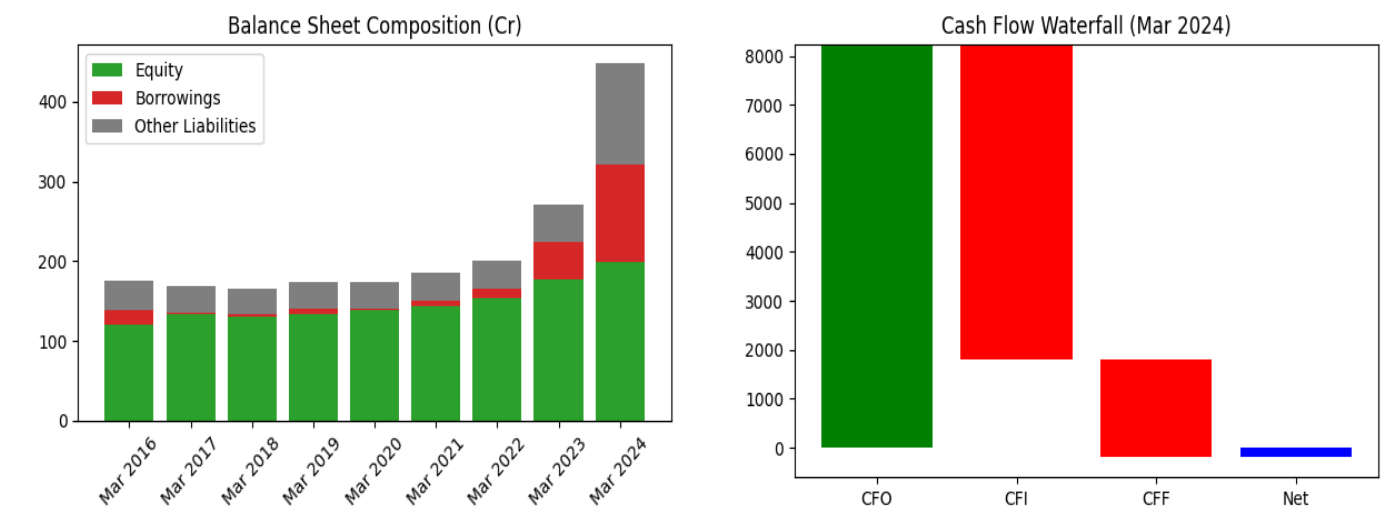


Hindustan Aeronautics Ltd (HAL)

Revenue ■31,154 Cr	Net Profit ■8,472 Cr	ROE 3816.6%
ROCE 3027.6%	CFO Quality High Quality	Allocation Shareholder Returns





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern: Shareholder Returns